

Introduction to Behavioral Finance

In Part One, we present three chapters: Chapter 1 poses the question “What is Behavioral Finance?” This chapter also includes a review of some of the most important figures in the field of behavioral finance. In Chapter 2, we review the history of behavioral finance placing particular emphasis on understanding the differences between rational and irrational behavioral economic theories that have been developed over the years. Chapter 3 provides an introduction to behavioral biases, 20 of which will be reviewed in the book.

Throughout this part of the book, the goal is to have readers understand the basics of as well as the effects of behavioral biases on the investment process. By doing so investors and their advisors may be able to improve economic outcomes and attain stated financial objectives.